

GS Basics - Art of the Deal. Gross Issues. Momentum Vol

FICC and Equities | 23 July 2025 | 6:53AM UTC

**Big Japan rally overnight**, with NKY futures up over 4%—likely amplified by levered product flows. Japanese autos surged double digits after a 15% tariff deal caught the market off guard (Polymarket had odds of a Japan deal by Aug 1 at ~20% ). In the context of 25% tariffs on Canada and Mexico, think mkt surprised Japan auto's securing a more favorable status—even compared to what some U.S. automakers pay to import their own supply chains. Think 15% Japan tariffs would have been unthinkable just months ago...now, Japan's stock market is near all-time highs...**art of the deal**.

**Another consequence: Political uncertainty** in Japan -Ishiba now denying that he will be stepping down after earlier reports from Yomiuri newspaper. **The 40yr auction went poorly**, long-end yields are pushing higher again. Equities globally haven't cared about this dynamic but I remain vigilant. **These fiscal/structural questions aren't going away**...lot of paper around today globally (see below)

Europe should trade up in sympathy, especially after recent hedges being set fearing trade escalation. **Expect European autos to open sharply higher on this**, then I think there will be some debate if this emboldens the US to push for a more aggressive deal vs the Europeans to acquiesce given what appears to be a global baseline that is creeping higher outside of them.

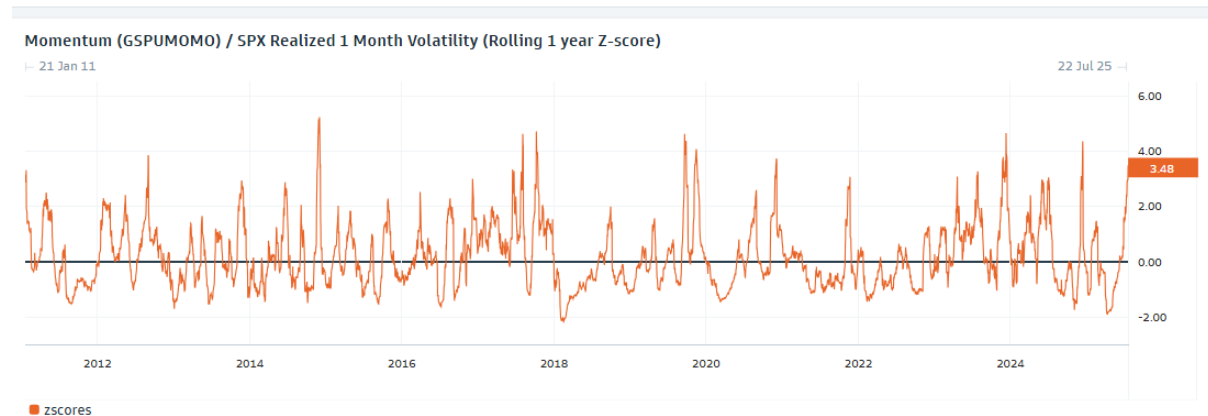
?

**Earnings season continues to be mixed**. Earnings are still supporting the bid in AI-related names, but the **bar feels it has been raised**. **TXN** guided to something that seemed more gradual and is down high single digits post market. **SAP** cloud booking a touch light of very high expectations and should trade lower. Think real mixed bag: **SHW/LMT/GM/Nokia/ASM/MSCI/PM** all degrees of disappointing with a number of guidance cuts mixed in. On the flipside things like US homebuilders rallied aggressively led by **DHI** and **Pulte** (both up double digits) as bookings better on low bar despite weaker ASPs (Trump considering removing cap gains for home purchases helps too).

**Gross felt disgusting again**. GSPUWSHI most short vs least short basket rallied +2%. KSS was up over 100% at one point yesterday—some serious **meme-era echoes**. I'm old enough to remember the quant quake of August 2007, and how quickly that unwind unfolded. I do think performance issues have crept in over the last 6 weeks. Systematic crowd has underperformed fundamental L/S, and gross remains elevated vs historical levels, due in part to the sheer proliferation of quant-driven strategies. The Japan move won't help—**momentum drawdown is being exacerbated by short squeezes**.

Price action has been very choppy. **We've exited the early-July nirvana and are entering the chop I feared.** Focus today: **GOOG/TSLA** and the U.S. 20yr auction/UK 15yr/German 10yr.

Side-note: The ratio of 1M realized volatility in US Momentum vs SPX has reached high end of range. Historically, this signals a period where momentum chops sideways until volatility settles.



Source: Marquee, as of 23/7/2025. Past Performance is not indicative of forward returns.[?](#)